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REPORT OF THE FIRST MAHARASHTRA FINANCE COMMISSION



JANUARY 1997

State Finance Commission
Government of Maharashtra
Mumbai

SUMMARY OF RECOMMENDATIONS

(1) Recommendations regarding devolution of grants and taxes Panchayat Raj Institutions

The Payment of grants of land revenue and cesses should be linked to their demand and not actual recovery. The commission has been informed that, the present rate of recovery of land revenue and cess is 50 to 60 per cent of the demand. The commission recommends that the panchayat raj bodies should be given 66.67% of the demand of land revenue and cess thereon as advance grant every year in one or two instalments. If the recovery is more than this level, the difference should be paid in the subsequent year. However, if the recovery is less than the amount of advance grant in a perticular year, no recovery should be effected from these bodies.

13.4

The commission recommends that, like the grant of land revenue and cess, the irrigation cess, grant equal to 66.67% of the demand should be given to the zilla parishads a advance grant. If the recovery is more than this grant the difference should be given to them in the subsequent year. However, if the recovery is less than the grant no recovery whatsoever should be made from the zilla parishads.

13.8

The Zilla parishads, in order to undertake the projects and works in the forest areas, within their jurisdiction, get grant equal to 7 per cent of the forest revenue. The commission recommends that this percentage of grant should be raised to 10% to enable the Zilla parishads to undertake projects in the forest areas in a better way.

13.12

The Commission is of the view that it is desirable to increase the rate of agency charges and therefore recommends that this rate should be increased to 10% instead of 3%.

13.13

From 1997-98to 2000-2001 the percentage of the funds to be received for the repairs of the roads should be increased to 40% of the funds as per norms.

13.14

The Zilla parishads receive some income from transferred and agency schemes. It includes rent from machinery of the technical departments and fees at the primary health centres etc. The commission recommends that this income should be allowed to be retained with the zilla parishads without transferring it to the government.

13.20

The non-agricultural tax has been referred to while determining the requirements of the sources of income of Zilla parishads. The commission recommends that every zilla parishads should charge this special tax.

13.21

In order to bring about improvement in the management, administrative efficiency and increase in their resoruces, the commission recommends that, a sum of Rs. 25 lakhs per year should be given to the zilla parishads as an incentive grant subject to some conditions.

13.26

The 50% of the incentive grant shall be passed on to the panchayat samitis by the zilla parishads.

13.27

The commission feels that it is desirable to change the current practices and recommends that Government should examine how best the funds for implementation of schemes could be made available by way of tax share instead of the system of grants and should take streps in that direction by 2000-2001.

13.28

At present the gram panchayats are given the grants equal to the average recovery of ordinary land revenue of 5 years. In the case of Zilla parishads, the commission, in Praragraph 13.4, point No. (1), has recommended that this grant should be given to the extent of 66-67% of the demand as an advance.

13.30

The gram panchayat receive the cess grant in the proportion of 100 Ps. per rupee of the ordinary land revenue. The commission, in paragraph 13.4 (1) has made recommendations about the cess on the land revenue.

13.31

At present the income from profession tax goes to the state government. It is the view of the commission that some part of it should be given to the gram panchayatas. The commission in para No. 13.46 has recommended that an amount to 10% of the total recovery made the government from this source should be separated and should be given to the local bodies.

13.32

Urban local bodies

The commission recommends that percentage of dearness allowance grant should be increased and it should be 90% for 'A' Class and 100% for 'B' Class and 'C' Class municipal councils.

13.39

'C' class municipal councils having population less that 15,000 are being given grant towards the pay and allowances of Chief Officers. As per the census of 1991, 42 municipal councils in the state receive this grant. As the financial condition of all the 'C' class municipal councils is similar, the commission does not feel that there should be any distinction amongst them. The commission recommends that, the stipulated limit of population should be removed and this grant should be given to all the 'C' Class municipal councils.

13.40

The commission recommends that the amount of grant which is currently given to the municipal corporations and municipal councils by way of land revenue should be incerased to 75% from 15%.

13.41

The commission recommends that, the revised share of entertainment tax should be 50% for 'A' Class municipal councils, 90% for 'B' Class municipal councils, 100% for 'C' Class municipal councils and 25% for municipal corporations.

13.42

An amount equal to 10% of the net income received by the state government from vehicle tax is set aside and is given to all the urban bodies (except Mumbai) on the basis of the population. In this respect the commission recommends that, hereafter 25% of the net income received by way of vehicle tax should be set aside and should be allocated as ' tax share ' to all the urban bodies including Mumbai on the basis of population. Urban bodies which were recovering vehicle tax in past, but were prohibited from recovering the vehicle tax by the Motor Vehicles Act, 1958, shall continue to receive the vehicle tax grant which is paid to them by way of compensation. The Mumbai Municipal Corporation shall receive this grant in addition to the income accruing to it by way of wheel tax.

13.43

The percentage of surcharge should be increased to 1% from 1/2% and that amount should be given to the municipal councils. The municipal corporations do not receive this grant at present. The commission therefore, recommends that, even in the municipal corporations areas, a provision should be made to charge the surcharge at the rate of 1% and that amount should be given to the municipal corporations. At present the stamp duty grant of 1/2% is given to the Nagpur Improvement Trust. The Commission recommends that, the above grant of the Nagpur Improvement Trust should be continued and additional amount that would be available in view of the recommendation should be given to the Nagpur Municipal Corporation.

13.44

This grant is given only to ' C ' Class municipal councils to the extent of Rs. 1 lakh from out of the royalty amount collected from the minor minerals in their areas. This grant should be continued. However, the current limit of grant should be raised to Rs. 5 lakhs.

13.45

It has been reported by the sales tax department that the percentage of total income received from this tax (profession tax) in the urban areas is 90 per cent and only 10 per cent income is from the rural areas. Taking into account the financial condition of the local bodies and the fact that originally this tax belonged to them, the commission recommends that an amount equal to 10% of the net income of this tax should be set aside for giving to the local bodies. Out of this amount 80% should be given to the urban bodies and 20% to the gram panchayatas on per capita basis. Though the percentage of profession tax recovery is 10% in the rural areas, the commission has given a little more weightage to gram panchayats. The amount out of this tax that would be distributed among the urban bodies should be considered as share of tax.

13.46

In some selected cities (approximately 61) the slum improvement scheme is being implemented by the state. The government gives to the concerned urban bodies grant in aid at the rate of Rs. 500 per capita towards the capital expenditure incurred by them to provide the civic amenities in the declared slums. This limit of expenditure has been raised to Rs. 800 per capita from 1st April 1996. This does not include Mumbai and the Pune municipal corprations. In many cities the number of undeclared slums have increased along with the declared slums. The burden of providing civic amenities by these bodies has also increased. In the circumstances, although the urban bodies demanded that the limit should be raised to Rs. 1200 or 1500 per capita, the Commission recommends that it should be raised form Rs. 800 per capita to Rs. 1000 per capita.

13.47

The financial condition of the hill station Municipal councils in the state has been given in paragraph 5.180 to 5.184 of Chapter 5. There are in all 6 hill station municipal councils (Matheran, Panchgani, Mahabaleshwar, Panhala, Khuldabad and Chikhaldara) in the state and all of them

are " C " class. Although their resident population is small, on account of continuous flow of tourists the pressure on their infrastructure and resources is high. As these are the tourist centres their requirements are also different from other municipal councils. Taking into account the policy of the state government of giving a boost to tourism and the fact that there is not much scope for increasing the income by these bodies, it is essential to give financial assistance to enable them to provide facilities and services to the tourists. From this point of view, the commission recommends that a sum of Rs. 10 lakhs per year should be given as " Tourism Development Grant " as a special case to each municipal council. This grant will be in addition to the other grants received by them regularly.

13.48

The municipal corporations and the municipal councils in the state are given the primary education grant in the percentage specified on the expenditure over the accepted items of the primary education. The commission recommends that this percentage should be increased by 10% for ' A ' and ' B ' class municipal councils. As far as the municipal corporations and " C " class municipal councils are concerned, the present rate of grant may be continued. The current rate of 20% of the primary education grant of the Mumbai municipal corporation is to be increased by 5% every year from 1995-96 and the rate is to be enhanced upto 50% by 2000-2001. In this context the commission recommends that, instead of increasing the primary education grant step by step, the Mumbai municipal corporation should be given the grant at the rate of 50% from the year 1997-98 like other municipal corporations.

13.49

The commission recommends that the incentive grant may be given as stated hereunder on the following terms in order to bring about improvement in the administration of the bodies to increase their resources and to see that sufficient facilities are available to the citizens by increasing administrative efficiency.

Urban Local Bodies	Incentive Grant annual	Minimum conditions laid down for grant
Municipal Corporations	Rs. 1 crore each	(1) Meeting revenue expenditure on operation and maintenance of water supply through water tax * at least upto 70 per cent in 1997-98, 80 per cent in 1998-99, 90 per cent in 1999-2000 and 100 per cent in 2000-2001.
" A " Class Municipal Councils.	Rs. 40 lacs each	
" B " Class Municipal Councils.	Rs. 25 lacs each	(2) The recovery of property tax should be 80 per cent of the total demand (including arrears).
" C " Class Municipal Councils.	Rs. 15 lacs each	(3) The income other than taxes should be increased by 25 per cent per year.

* In the water supply expenditure, the expenditure of operating the scheme, maintenance, repairs, water purchase, establishment etc., shall be included. However, it shall not include repayment of loan.

13.50

(2) Recomendations regarding taxes and fees

(A) Property tax

It appears that if the municipal councils make determined efforts to reach the maximum rates of the class by increasing the tax rates by 4 to 5 per cent there can be a considerable increase in their income.

5.143

The government should examine the system adopted by Pune Zilla Parishad and make necessary provisions in the provisions concerning house-tax, so that gram panchayat can increase their income.

7.33

The commission recommends that to avoid loss of revenue to the urban bodies and also unequal treatment to citizens within the same city, it should be examined whether the rent-control act could be amended so that effect of rent control will not be so pervasive as to cover fixation of rateable value for the purposes of property tax. For this the Model Rent Control Act, 1992 prepared by the Government of India could be the starting point. Presently, rateable value is taken into consideration while fixing the property tax. It may be considered whether instead of rateable value the actual carpet area could be taken into consideration for fixing property tax. It could also be considered whether some weightage could be given to the location of the building, standard and type of construction and other relevant factors.

8.6

The commission recommends that the revaluation of the properties in the urban area should be done regularly according to a time bound programme so that, there would not be sudden burden of taxes and consequent resentment among the people. Further, implementation of the revised tax should be brought into effect immediately by the concerned urban bodies.

8.9

While there is a provision in the act governing the municipal councils for revaluation after four years, no such provision exists in the municipal corporation acts. Some municipal corporations represented to the commission that there should be such a provision in their case also. The commission agrees with this view and recommends accordingly.

8.10

The commission recommends that the penal interest rate should be atleast 2 per cent of the total delayed amount.

8.11

If any dispute arises in connection with the property tax amount, there should be a provision that the property holder should first pay an amount equal to the previous demand (before the dispute) before filing the appeal. Similarly during the pendency of the dispute, he should continue to pay tax to the extent of the previous demand in subsequent years also.

8.12

It is necessary that suitable guidelines should be laid down regarding the method of assessment, valuation and tax rates regarding open plots in urban areas.

8.13

The local bodies should be allowed to levy taxes and service charges on all the government properties (including the properties of public sector undertakings of the central and state government, Boards and corporations) like ordinary tax payer. In this regard a detailed study should be made to make appropriate amendments in relevant Acts. The government should pursue with the central government the question of similar amendments in rule, acts and other statutory provisions as regards the property of the central government, public undertakings, companies and corporations.

8.16

Urban bodies should assess and levy property tax even if at a concessional rate as to see that at least the cost of maintenance and repair of amenities and services is received in this manner. Ways should be found to check further growth of slums.

8.57

Minimum and maximum rates of property tax have been revised for all classes of municipal councils in 1994. The commission recommends that in the period 1996-97 to 2000-2001 further increase to the extent of 5 % should be made in a gradual manner.

12.41(1)

In the rate of property tax the maximum limit of the range should be removed and only the minimum rates should be kept. It should be left to the discretion of the municipal body to levy any rates above the minimum which they think are proper and not burdensome to the people.
12.41(2)

(B) Octori

Though the maximum and minimum rates of octroi of various category of goods are fixed by the rules, many urban bodies have not tried to achieve the maximum rates as prescribed. If efforts are made to levy the tax upto its maximum limit, there is a possibility of considerable increase in income. Besides the maximum and minimum rates prescribed by the rules are required to be reviewed from time to time.
5.34

Municipal councils octroi Rules formulated by the government in the year 1966 are in force for the municipal councils, but in the intervening period of 30 years, radical changes in the nature of trade/business have taken place. It is necessary to review the provisions of Octroi Rules.
8.18

According to the present system recovery of octroi made at octroi naka cannot be verified for correctness. To verify and check the correctness and detect tax evasion there should be a provision to inspect the accounts and records of the traders. From this point of view, it may be considered to modify the rules to facilitate employment of the services of outside agencies and external accountants and auditors.
8.18(B)

The commission recommends that in depth study may be made into the problems that have arisen due to privatisation and necessary correctives should be applied and modifications in rules and procedures. Moreover in case of those urban bodies whose rate of growth of octroi income is less than rate of growth of other municipalities in the class should be strongly induced to experiment with privatisation.
8.26

There are many complaints of loopholes in the octroi system, for example, tax evasion, administrative and procedural defects and corruption. These areas should be looked into not necessarily by the internal administrative machinery of the municipal councils, but in order to import an element of objectivity, professionalism and transparency, a panel of 'outside auditors' should be constituted by the Director of Municipal Administration. Initially this can be done selectively for a few municipalities as a test check and the result of these checks can be standardized and used generally.
14.15

(C) Income other than Taxes (Water tax, Irrigation tax)

It is essential to raise water charges to meet the expenditure with a view to run the said schemes on no profit no loss basis.
5.115

In user charges and fees, the taxes should be commensurate with the cost of providing the service. If this is the goal and the rates are revised from time to time, a sizeable income can be expected.
5.154

Allocate cess-grant on land revenue and irrigation tax to the zilla parishads on the basis of demand. As the rates of demand are fixed, the grant due on the basis of actual demand can be determined for a specific period and provision may be made in the government budget. This amount of grant may be changed as and when the demand changes on account of change in the rate of the basic tax or cess. Besides, the grant should be distributed to the Zilla Parishads in one or two instalments in a year to facilitate budgetary control and expenditure planning.
7.7

The commission recommends that the gram panchayats should levy general water rate even in the case of villages where there is no water supply scheme and the only source of drinking water is bore well or drinking water well. This requires amendment to the Village Panchayats Act and Rules.
7.26

The industrial and commercial rates of water should be substantially high as compared to the domestic rates to make across subsidization of less profitable use possible.

The municipal bodies should aim at getting atleast 70 % of expenditure on water supply through income by 1997-98. In subsequent years, this percentage should go up to 80 and 90 % respectively. In the year 2000-2001 the goal should be to recover 100 % expenditure on water supply through income from water charges. 8.48(6)

(D) Other taxes (regarding general taxes) 12.45

Other taxes include mainly taxes on vehicles and animals, entertainment tax, taxes on performances etc. From the preceding figures, it is seen that the percentage of this income to the total income from taxes is less than 1 per cent (except for the Aurangabad, Pune and Nashik Municipal Corporations). there is scope for increasing this income by reviewing the existing rates of these taxes.

Efforts should still be made to revise the fees, rates and charges from time to time and to increase income from this source. The user charges should be so fixed as to recover the cost of service from the user. 5.86

As the payment of dearness allowance grant is linked to this recovery, it is in the interest of municipal councils to step up their recovery to avoid double loss of revenue. 5.88

The restrictions imposed on local bodies in respect of minimum and maximum rate of taxes to be reduced and atleast the power to reach the maximum should be vested in them. 5.147

Rates of Taxes.—The government in the Acts, and rules has fixed minimum, maximum rates of some Taxes. It is found that, these bodies do not try to reach the maximum limit but they levy taxes at minimum rates. The rates are not revised from time to time. Efforts through frequent revisions should be made to reach the maximum limit of rates of taxes. 6.24

The proposals for the revision of rates in which the final decision is with the government should be cleared within a period of three months as far as possible. Where the proposal involves amendment in the Act, government should take steps on a priority basis to place such proposals before the legislature. 8.3(2)

It is seen that the urban bodies have not paid attention to the income from other taxes. Very little income is earned through other taxes. Very often rates fixed long back are prevelant. If all the rates of various taxes are reviewed regularly there may be some additional income to the local bodies and the commission recommends accordingly. 8.3(3)

The commission recommends that all fees and service charges should be reviewed periodically and regularly and should be brought to current level. All possible efforts should be made to see that income from a fee meets the current level of expenditure incurred to provide it. 8.27

(3) Recommendations regarding Administrative Improvements 8.29

The commission recommends that while working out whether the establishment expenditure is reasonable and within limits in relation to income, all expenditure including that on self-supporting schemes and daily and casual employees should be included. If this is done it will be possible to have an idea of total establishment expenditure including expenditure on self-supporting schemes and income if any from such schemes, and a meaningful review will be possible for each scheme. 5.24

To keep a control over the establishment expenditure, it may be necessary to have a common and consistent policy of pay scales and allowances for all type of municipal bodies. 5.25

It appears that as the C-class municipal councils are financially weak, they get more grant from Government as compared to 'A' and 'B' class municipal councils. If these municipal councils do not get Government grants, they often find it difficult to pay the salaries and allowances to their staff. For these reasons, they are not in a position to provide better amenities and services and to provide funds for development works. There is a wide disparity between the rate of growth of own income and the rate of growth of income from grants. One of the many reasons for decrease in the amount of grants is that the dues of organisations like MWSSB and MSEB are deducted at source before releasing the grants. Even though these deductions are legitimate items of expenditure of municipal council, the latter show in their accounts only the net amount of grants received. Besides grants are often released at the end of the financial year. This means that they get reflected in the municipal accounts after the date of actual receipt. Because of these reasons, the amounts released by Government and received by the municipalities do not match. These discrepancies have occurred from year to year. It is for the Government in Urban Development department and Directorate of Municipal Administration to lay down appropriate guidelines to overcome these problems so that there will be proper reconciliation between the government and municipal accounts.

5.160

The commission feels that in order to achieve the expected objective of making the local self governments autonomous, financial aspect alone should not be taken into consideration. Even other aspects like administrative control and laws which contain and restrict the independent and flexible functioning of local bodies should be taken into consideration.

6.21

The commission recommends that every year at least 75 % of the grant should be made available to the Zilla Parishads by December end and the remaining amount should be distributed by February end.

7.11

The commission feels that these urban bodies should have knowledge in advance of when and what amounts they are going to get as grants. This will help considerably the income and expenditure planning. Release of grants in the last week of the financial year should be avoided. Urban bodies may be formed in advance about the deductions to be made in the grants.

8.32

The commission recommends that there should be a provision in the law that the defects noted in financial administration of municipal corporations/municipal councils by the government or the Directorate of Municipal Administration should be communicated to the municipal body concerned. These views of the government, the Directorate of Municipal Administration as the case may be should be tabled before general body. The municipal body should communicate to the government what steps it has taken to rectify those defects.

12.40

The commission recommends that all the municipal bodies should prepare a separate budget for water supply so that it will be posssible to evaluate the performance of this major activity at a glance.

12.46

Small cells which function in the office of the commissioner and collectors are neither effectively managed and controlled by the commissioners and the collectors nor by the Directorate of Municipal Administration, firstly, because there is dual control and secondly because the collectors and divisional commissioners are fully occupied with their multifarious functions and responsibilities. Therefore the Directorate of Municipal Administration cannot properly superwise the functioning of the municipal bodies. The commission is of the opinion that this organisation should be strengthened to fulfill the regulatory role and also the role of effective monitoring and inspection. It should also keep an eye on the developmental activities. To emphasize all these aspects the commission recommends that the Directorate of Municipal Administration and the cells in the offices of the commissioners and the collectors should function under a single line of control under the directorate.

14.2

The Director of Municipal Administration should not only work as controlling and inspecting agency but it should function as an arm of the Urban Development department in the development matters also.

14.4

The commission assumes that hereafter, the work of valuation, instead of being done by the municipal councils themselves, will continue to be done by the technically qualified people of the Directorate of Town Planning. The commission feels that this is an effective way of doing things. If this arrangement continues in future, we recommend that the directorate should be strengthened at suitable levels for effective performance of this work. It is learnt that proposals for creation of some posts aggregating to an expenditure of about Rs. 45 lakhs per year are under the consideration of the government. The commission recommends that urgent action should be taken in the matter. The government should also consider levying some charge on the municipal council for the above service to recover at least some part of this expenditure.

The commission, therefore, is of the view that we should have a machinery and system by which the revised property rates are implemented substantially within a year of completion of this work. 14.5

In so far as municipalities are concerned, some of the areas which could be considered for privatisation are contracting out garbage collection and dumping, maintenance of street lights, running of parking lots (wherever possible). In appropriate cases, markets could also be given to private parties for management and this could be done by inviting tenders. 14.6

An internal rating system may be evolved in consultation with commercial credit rating agencies like CRISIL or financial institutions like ICICI in regard to proposals in which state is expected to give loan or guarantee to local bodies. This rating system in all such cases of assistance should be considered in accordance with accepted levels of safety as determines from time to time. 14.21

(4) Recommendations regarding audit inspections.

The Commission recommends that within a period of two years from the receipt of the report either the recoveries should be completed from the concerned persons or organisations, or, if found appropriate the technical objections should be got settled. This will ensure that there will be no pending amounts recoverable beyond two years. Similar action should be taken for amounts pending under old objections. 14.33 (a)

In view of the following recommendation No. 2 the existing vacancies in the establishment of Chief Auditor, Local Fund should be filled quickly so that this work does not suffer. It may also be considered whether outside auditors can be appointed for this work to keep the expenditure under control. 7.12

The norms of income in respect of gram panchayats as fixed by the Bongirwar Committee being old, need to be revised to an income of Rs. 25,000 per year. 14.10(1)

To enable audit at a faster pace, the administrative machinery of Local Fund Auditor needs to be strengthened. 14.10(2)

Each municipality according to its requirement and financial capacity should have a small internal audit wing which as far as possible should be organized with the help of existing staff. This staff can be trained in the practices of audit and accounts and the initiative in this regard should be taken by the Director of Municipal Administration. The local fund auditors do not have the powers of store inspection. For complete inspection, those powers are essential and should be given to them. 14.12

The government should chalk out a scheme in consultation with the Institute of Chartered Accountants for utilizing the services of the trainee Chartered Accountants. This will not only enrich their experience but will also provide some relief to the local fund auditors.

(5) Recommendations regarding Statistical Data Bank. 14.14

The commission feels that there should be a data bank on the financial position of the panchayat raj institutions and the municipal bodies.

14.18

The commission recommends that as per the fixed time schedule the consolidation and checking of the information received from the primary level may be made on the district level and finally the work of collection and analysis may be done at the state level. The Director, the Directorate of Economics and Statistics should do the work of collection and consolidation of the information and maintaining data bank information at state level.

(6) Miscellaneous 14.19

Though the number of facilities (in the commercial complexes) not in use is not so high it is necessary to secure full utilization of facilities to avoid loss of income caused due to it.

5.92

Though it is an undisputed fact that the bodies earn income from the commercial complexes, it is quite essential to link the income with the capital investment. Efforts should be made in the directions of earning income from these commercial complexes at least at the rate which would have been earned has such investments been made in the banks or elsewhere in long term deposits.

5.157

It is unlikely that these municipal bodies can substantially raise their income to attain the expenditure level necessary for the amenities and services expected in their areas. They should not be treated like other municipal councils of their class. They should be given added weightage while giving financial assistance, being tourists places and having future tourist potential.

5.184

It is desirable that these should be uniformity in the rates and types of taxes in all the four Acts governing urban local bodies.

8.3(1)

If vacant lands of the urban bodies, are not used properly, the chances of slums coming on such lands cannot be ruled out. Instead, if commercial complexes/markets are constructed on such vacant lands and are sold/disposed of on the basis of outright sale, a sizeable income can be derived, and hutments can also be prevented.

8.30

Urban bodies should take special care to check wastage of water. They should create public awareness about economical use of a precious and costly resource like water.

8.46

The commission feels that 20% wastage of water assumed by the MWS & S Board in processing and distribution of water is a little excessive and it should be brought down to 15%. All efforts which include public awareness are required to avoid wastage of water.

8.48(3)

Water Supply schemes should be run on no profit no loss basis. While fixing the water charges the liability of loan repayment should also be taken into account in expenditure. The rates should be reviewed from time to time so that full costs are recovered through these rates.

8.48(4)

In water supply and drainage schemes, or for that matter any scheme involving major investment, there should be some public participation. Urban bodies should create public awareness for such schemes. Some kind of public commitment should be there which can either be in the form of financial contribution or voluntary labour. To a certain extent, this approach might reduce the expenditure and will also create public commitment to the scheme.

8.48(5)

The municipal bodies should pay adequate attention to matters of public health and sanitation and should provide sufficient funds for the purpose. Wherever possible, the avenues of privatisation of services should be explored.

8.50

It is seen that adequate attention is not paid to proper maintenance and repairs of these schemes wherever they have been implemented. Since municipal bodies charge drainage tax, they should also pay attention to maintenance and repairs. Waste water can be pressed to make it suitable for irrigation. This will fetch some revenue to local bodies.

8.51

Efforts should be made to see that it (low cost sanitation scheme) is successfully implemented in the urban areas.

8.53

The government should promptly give approval to the proposals sent by the urban bodies to raise loans for capital expenditure. Where the government guarantee is not required, approval should be given within a period of 60 days of receipt of proposal. Where guarantee is required, approval should be given within 6 months or decision of the government otherwise should be communicated. If nothing is heard in this time, government approval should be taken as having been given.

8.58(1)

Government guarantee should be required for capital expenditure of certain specific nature only. These should be schemes of general public benefit and from which the urban body will also derive some financial advantage.

8.58(2)

Presently the MWSSB has a near monopoly on the implementation of water supply and sewerage schemes in urban and rural areas. It is true that the board has successfully planned and implemented schemes in the past. However, we should realise that urban institutions are substantially autonomous. In this age of competition, it should not be binding on them to have the schemes implemented through MWSSB only. They should have option to explore the possibility of getting the work done from other agencies in public and private sectors. Similar procedure should be applicable to schemes in which some government assistance is also available. This will be in keeping with the government's policy of privatisation.

8.58(3)

As far as possible, capital expenditure for commercial complexes should be raised by deposits from future beneficiaries. The goal should be to raise the facility with the help of deposits and to create source of income for the urban bodies on regular basis. Besides it will not be desirable to give priority to this activity at the cost of basic and essential services.

8.59

It is necessary to chalk out plans and town development schemes for using these funds. It should also be ensured that urban bodies levy the development tax and make proper recovery of

dues. They should also keep the funds in a separate development fund for use on the schemes of town planning and development.

8.68

It may be considered whether it is necessary to maintain so many separate funds or whether the purposes could be combined to have one common fund. Maintaining a common fund will be more convenient/Manageable for the urban bodies. Government may examine this matter.

8.74

In these circumstances, to say that the surplus of resources created by Maharashtra state in the past through great efforts, is going to be reduced in future is not acceptable to the Commission. To meet the plan expenditure and the increasing non-plan expenditure, the Government has to raise additional resources and the Government of Maharashtra has this capacity.

9.19

The income and expenditure on water supply should be balanced and the scheme should be self-supporting by 2000-2001.

12.47

The commission has realised the need of increasing basic amenities and services in the urban areas. The state government should establish an " Urban Development Fund " for the purpose and should try to obtain assistance from the world bank.

13.51(1)

In view of the changing economic context, this is the proper time for the financially sound urban bodies to come out in the open market to raise funds for the developmental activities. It is expected that government will encourage such proposals taking into account the merits of the programmes from financially sound urban bodies.

13.51(2)

Maharashtra Government's premier training institution, YASHADA, Pune in consultation with national level institute like the National Institute of Rural Development Hyderabad and the All India Institute of Local Self-Government, Mumbai should prepare training packages for different level of staff in the panchayat raj institutions and municipal councils and should monitor the implementation. More emphasis needs to be paid to accounts and financial management and stores management. The training can be both at induction level and by way of refresher courses, under the auspicious of YASHADA which should play the role of a catalyst.

14.16

The state government should set up after every three year separately for panchayat raj institutions and municipal councils a committee which may be called " Rates Revision Committee ". Suitable representation can be given on this committee to the representators of the local bodies.

14.25

The government should examine the legal aspects of the matter and see whether the industries like sugar factories APMC's and other intensive users of roads and infrastructural facilities can be made to make some contribution towards upkeep and repairs of roads.

14.26

The Commission noticed that the zilla parishads and municipal councils do not keep their property registers of moveable and immovable properties up to date. The commission feels that this is a serious lacuna, particularly, because in recent years lots of assets as a result of the developmental process have been created. The commission observed that due to lack of proper information those bodies cannot calculate the amount of depreciation fund. They can neither assess nor monitor the returns on investment. Further they cannot provide information required for maintenance and reparits. The commission recommends that these bodies should maintain the property registers of moveable and immovable assets scrupulously and keep them up to date.

14.27

There was in fact some newspaper publicity highlighting that the pay and allowances of Mumbai Municipal Corporation are the highest as compared to the municipal corporations in the

state, the undertakings of the state and central government or even the pay scales applicable in the State Government. While the commission does not wish to place curbs on the wages of the corporations, it strongly feels that there should be a common wage policy and some check on unbridled competition to raise the pay scales on account of pressures and other reasons.

14.28

The commission recommends that there should be transperancy in the work and programmes of the local bodies to some extent.

14.29

Another way to involve the public is to bring out in them the feelings of love for their city and encourage generous donations.

14.32

In connection with the existing outstanding loans the commission recommends that if any local body is unable to repay the loan or interest to the state government or external agency for a period exceeding one year, it should be brought under close observation and measures may be taken in regard to its tax structure, and recoveries, or any other measures to ensure that the problem does not go out of hands.

14.33(b)

Transport undertakings of municipal bodies are a subject of independent study by themselves. It is well known that unless it is one among other financialy viable activities, urban transport cannot by itself be self supporting.

14.34

The commission recommends that government should insist on making a provision for depreciation on various assets at prescribed rates and invest the same in earmarked investments. If any local body is unable to make such contribution to depreciation fund, arrears upto the end of the financial year should be shown seperately in their income and expenditure accounts.

14.34

The commission, therefore, recommends that each municipal body should set aside half percent of their own income which may be constituted as a " Calamity Fund ".

14.36

As per section 130(*3*)(*B*) of the Maharashtra Zilla Parishad and Panchayat Samiti Act 1961 zilla parishads, panchayat samitis and gram panchayats can keep their funds in a co-operative institution which is approved by the state government. The government has issued order to keep the funds in the district central co-operative bank. According to the circular No. UBD/No. D.S.P.C.B.C.I.R./18/13-01-96-97 dated the 30th August 1996 of the Reserve Bank of India all the co-operative banks are given permission to keep saving bank accounts of the zilla parishads, panchayat samities and gram panchayats. The commission recommends that the panchyat raj bodies may be permitted to keep their funds in any co-operative bank according to R.B.I. instructions.

14.35

The commission recommends that the Government may constitute " District Planning Committee " and " Metropolitan Planning Committee " as soon as possible.

14.40